

The social market



When Tony Blair came to power in Britain in 1997, there was much talk of a 'Third Way', a middle ground between left- and right-wing approaches to economic management. In fact, the attempt to create a synthesis of left and right goes back to the immediate postwar period, when economists proposed the model known as the social market economy.

Subsequently established in many European countries, the social market combined private enterprise with government provision of goods and services such as health and schooling. The state also created 'safety nets' – unemployment benefits, pensions and other payments aimed at mitigating the social impact of markets. Many governments had tax policies that redistributed wealth from the rich to the poor. The idea was to harness the productive, dynamic aspects of capitalism, while tempering them

with socialist principles of equality and fairness. Today, most European economies combine markets with state intervention.